

crisis) for the Republic of Letters to realize that *The Black Swan* was a philosophical tale.

How to Expunge One's Crimes

My ideas went through two distinctive stages after the release of the book. In the first, as the book hit the bestseller list in almost every single country where it was published, many social scientists and finance practitioners fell into the trap of refuting me with the sole argument that I was selling too many books and that my book was accessible to readers; hence it could not reflect original and systematic thought, it was just a “popularization,” not worth reading let alone commenting upon.

The first change of regime came with the release of my more difficult mathematical, empirical, and scholarly work in a dozen articles in a variety of journals in an attempt to expiate my crime of having sold too many books.* Then, silence.

Still no refutation at the time of this writing; indeed, my paper on the Fourth Quadrant in the *International Journal of Forecasting* (which I simplify in this essay) produced incontrovertible evidence that most (perhaps all) “rigorous” papers in economics using fancy statistics are just hot air, partaking of a collective scam (with diffusion of responsibility), unusable for any form of risk management. Clearly, so far, in spite of a few smear campaigns, or, rather, attempts at a smear campaign (typically conducted by former Wall Street persons or Diet Coke drinkers), nobody has managed to present a formal (or even informal) refutation of the idea—neither of the logical-mathematical arguments nor of the empirical arguments.

But meanwhile I figured out something valuable in the packaging of the Black Swan idea. Just as in *Fooled by Randomness* I had argued (initially from personal experience) that a “70 percent chance of survival” is vastly different from a “30 percent chance of death,” I found out that telling researchers “This is where your methods work very well” is vastly better than telling them “This is what you guys don’t know.” So when I presented to what was until then the most hostile crowd in the world, members of the American Statistical Association, a map of the four quadrants, and told them: your knowledge works beautifully in these three quadrants, but beware of the fourth one, as this is where the Black Swans breed, I received instant approval, support, offers of permanent friendship, refreshments (Diet Coke), invitations to come present at their sessions, even hugs. Indeed, that is how a series of research papers started using my work on where the Fourth Quadrant is